Advanced Micro Devices, Inc. (NASDAQ: AMD)

The Thesis Played Out — Now the Price Has Run Past the Cash Flows

UNDERWEIGHT	PRICE TARGET $405	CURRENT PRICE $570.82	UPSIDE -29.0%

Diluted Shares	**1,667M**	FY2025A Revenue	**$34.6B**
Market Cap	**$952B**	FY2026E Revenue	**$48.6B**
Net Cash	**$9.9B**	Revenue CAGR FY25–30E	**31.7%**
EV / FY2027E EBITDA	**47.9x**	FY2030E EBITDA Margin	**35.0%**
Base DCF Value	**$343**	WACC	**11.10%**
Prob.-Weighted Value	**$405**	Terminal Growth	**3.5%**

EXECUTIVE SUMMARY

We move AMD to **Underweight** with a **$405 price target** (-29.0% vs. $570.82 on Oct 14, 2026). Our February 2026 initiation was right on the business: FY2025A revenue grew 34% to $34.6B, Q2 2026 revenue hit a record $11.5B (+50% YoY) and Data Center more than doubled. The stock has re-rated even faster — to ~$952B of market value, or 48x our FY2027E EBITDA.

We rebuilt the model on current data: FY2025A actuals, Q1/Q2 2026 results, the ~$13.0B Q3 guide, and a 10-year forecast that fades growth to the terminal rate instead of cutting off a 20%+ grower after five years. Our base case has Data Center compounding at 46% a year through FY2030E (below the >60% Analyst Day target) and EBITDA margin rising from 20.3% to 35.0%. That is worth $343 per share at an 11.1% WACC. Our price target is the probability-weighted value across four Data Center scenarios ($405, rounded).

WHAT THE MARKET IS PRICING

1. Data Center Is Now the Business

Q2 2026 Data Center revenue was $6.7B (+107% YoY), 58% of total revenue. MI450 and the Helios rack-scale platform ramp in H2 2026, alongside the first gigawatt of the OpenAI agreement. We model FY2026E Data Center growth of 75%, then 60% in FY2027E.

2. The Current Price Needs the Bull Case

Only two of our seven scenarios clear $571: the Bull case ($625: +6pp growth, +3pp margin, lower WACC) and DC Super Bull ($684: 70% Data Center growth FY2027E–FY2030E). In other words the market is underwriting the top end of management's long-term model.

3. Margins Are Expanding Fast

GAAP gross margin reached 54% in Q2 2026 (40% a year earlier) with ~56% non-GAAP guided for Q3. We treat stock-based compensation as a real cost, so our EBITDA margins sit below the >35% non-GAAP operating margin target until FY2030E.

4. What Would Change Our View

Evidence Data Center can compound above ~55% through FY2030E (our DC Bull case), a lower cost of capital (each 50bp of WACC moves value by roughly $27/share), or a pullback toward our probability-weighted value.

FINANCIAL PROJECTIONS ($M, FY ending December)

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	22,680	25,785	34,639	48,630	67,810	90,461	113,541	137,198
YoY Growth	-3.9%	+13.7%	+34.3%	+40.4%	+39.4%	+33.4%	+25.5%	+20.8%
Gross Profit	10,455	12,635	17,320	26,260	37,296	50,658	64,151	78,203
Gross Margin	46.1%	49.0%	50.0%	54.0%	55.0%	56.0%	56.5%	57.0%
EBITDA	4,332	5,570	7,032	12,158	19,665	28,948	38,604	48,019
EBITDA Margin	19.1%	21.6%	20.3%	25.0%	29.0%	32.0%	34.0%	35.0%
D&A	3,936	3,758	3,004	3,050	3,000	3,100	3,300	3,500
EBIT (GAAP)	396	1,812	4,028	9,108	16,665	25,848	35,304	44,519
Unlevered FCF	—	—	—	6,774	12,081	19,422	27,507	35,366

FY2031E–FY2035E fade years are in the model (Income Statement tab).

DCF VALUATION

Component	Value	Notes
Sum of PV (FCFs, FY2026E stub–FY2035E)	$207,121M	Mid-year convention; only 20% of FY2026E remains after Oct 14
PV of Terminal Value	$354,659M	Gordon growth 3.5%; 10.6x terminal EBITDA; 63% of EV
Enterprise Value	**$561,780M**	**WACC 11.10% (Rf 5.1%, β 1.40, ERP 4.3%)**
Plus: Cash & ST Investments	+$13,100M	Jun 27, 2026
Less: Total Debt	–$3,200M	Jun 27, 2026
Diluted Shares	1,667M	OpenAI warrant excluded (see risks)
Base DCF Value per Share	**$342.94**	**-39.9% vs. current**
Bear / Bull Value	$128 / $625	Full re-projection; see Sensitivity tab
Probability-Weighted Value	$404.91	DC scenarios 20/40/30/10
★ Price Target	**$405**	**UNDERWEIGHT — rating rule: ±10% upside bands**

SENSITIVITY — WACC × TERMINAL GROWTH (Base-Case Value per Share)

g \ WACC	9.60%	10.10%	10.60%	11.10%	11.60%	12.10%	12.60%
2.5%	$393	$364	$339	$316	$297	$279	$263
3.0%	$414	$381	$353	$329	$307	$288	$271
3.5%	$438	$401	$370	**$343**	$319	$298	$280
4.0%	$466	$424	$389	$359	$333	$310	$290
4.5%	$500	$452	$412	$378	$348	$323	$301

Green = above current price ($570.82) · Red = more than 40% below · Highlighted = base case.

DATA CENTER SCENARIOS → PRICE TARGET

Scenario	DC Growth FY27–30E	DC Rev FY2030E ($M)	Value / Share	vs. Current	Probability
Downside	30%	83,145	$265	-53.6%	20%
Base (model path)	40%	111,438	$343	-39.9%	40%
Bull	55%	168,030	$488	-14.5%	30%
Super Bull	70%	243,140	$684	+19.8%	10%
Probability-weighted			**$405**	**-29.1%**	**100%**

KEY RISKS TO OUR VIEW

Risk	Description	How the model treats it
AI Capex Keeps Accelerating	Hyperscaler and OpenAI demand pulls the Analyst Day targets forward; Data Center compounds at 55–70% (our Bull / Super Bull cases clear the current price).	We would revisit the rating on two consecutive quarters of Data Center growth above our path.
Nvidia Moat	CUDA lock-in limits ROCm adoption; GPU share gains stall.	Captured in the DC Downside scenario (30% growth FY27–30E).
AI Credit / Customer Concentration	Oct 2026 neocloud bond selloff shows financing risk behind AI orders.	Higher WACC in Bear case (+1pp).
Dilution	The OpenAI warrant (up to 160M shares, vesting on deployment milestones) is not in our share count.	Full vesting would cut per-share value by roughly 9%.

Price as of Oct 14, 2026 close; balance sheet as of Jun 27, 2026 (Q2 FY2026). Sources: AMD 10-K FY2022–FY2025, Q4 2025 / Q1 2026 / Q2 2026 earnings releases, Q3 2026 outlook, Nov 11 2025 Financial Analyst Day. Forecasts are analyst estimates. All figures in USD millions unless noted; every figure in this note is read from AMD_DCF_Model.xlsx. For portfolio and educational purposes only — not investment advice. Francisco Rodriguez · Financial Modeling Portfolio · github.com/Azyo1 · October 2026.